

The Practises of Investment Advisory in India

India has become one of the world's fastest-growing economies throughout the years, and it currently provides a healthy and expanding environment for both foreign and domestic investment. It offers potential investors a highly skilled workforce with a strong work ethic because it has the greatest youth population in the world. India offers a promising investment opportunity with strong macroeconomic fundamentals due to its steady GDP growth, favorable demographics that support stable consumer spending, and ongoing emphasis on infrastructure development and investment. The most recent forecasts from S&P Global predict that India's GDP will expand by 7% in 2026. Due to increased investment spending, Goldman Sachs has increased its estimate of India's GDP growth in 2024 from 6.5 percent to 6.6 percent. This indicates optimism about the nation's economy on a national and international level. India had more initial public offerings (IPOs) than any other country in 2023, with US\$7.89 billion in IPO proceeds.

India's growth has been significantly influenced by its enormous domestic consumption, which is primarily driven by the private sector. There are an estimated 400 million middle-class individuals in India, who are the primary consumers. The main causes of India's rising domestic consumption are the country's growing middle class and rising disposable incomes. By 2025, the Indian private consumer market is predicted to grow fourfold. Since rural India is now becoming a growing market for all kinds of consumer goods, the current administration is also concentrating on farmers and rural areas. The development of India's banking system, infrastructural improvements, and easing of FDI regulations are just a few of the government actions that have made it possible for investment to flourish in the country. The majority of sectors are available to 100% FDI through the automatic route as part of the government's investor-friendly FDI policy. To make sure that India continues to be a desirable and investor-friendly location, the country's FDI policy is also often evaluated. The government's extensive market-oriented policy reforms, proactive investment facilitation, and domestic policies targeted at increasing investments in India's infrastructure and renewable energy sectors have also been credited with the country's notable increase in foreign direct investment inflows in recent years.

India's economy showed great signs of recovery in FY22 after the COVID-19 pandemic. Nominal GDP or GDP at Current Prices in 2023-24 is estimated at Rs. 295.36 lakh crores (US\$ 3.54 trillion), against the First Revised Estimates (FRE) of GDP for the year 2022-23 of Rs. 269.50 lakh crores (US\$ 3.23 trillion). The growth in nominal GDP during 2023-24 is estimated at 9.6% as compared to 14.2% in 2022-23. Real GDP or GDP at Constant (2011-12) Prices in the year 2023-24 is estimated at Rs. 173.82 lakh crores (US\$ 2.08 trillion), against the First Revised Estimates (FRE) of GDP for the year 2022-23 of Rs. 160.71 lakh crores (US\$ 1.92 trillion). The growth in real GDP during 2023-24 is estimated at 8.2% as compared to 7.0% in 2022-23. These figures make India the fastest-growing major economy in the world, and this economic growth has translated to the domestic investment market in India

Public and private investments are the two categories of domestic investments in India. Household investments and corporate investments are the two subcategories of private investments. Numerous conditions, including macroeconomic stability, strong household savings, productivity, loan availability, the resolution of non-performing assets, balance sheet cleanup, etc., are necessary for private domestic investments. Foreign and domestic investments in India complement each other and contribute to the nation's development. Innovations that enable domestic sectors to catch up with cutting-edge technology are the primary driver of growth in emerging economies like India. The collaboration of a domestic entrepreneur/investor who is aware of the local conditions and a foreign investor who is knowledgeable with the cutting-edge technology is necessary to catch up to the leaders in any area. Over the past few years, the Indian private investment market has also shown indications of maturity. According to market data, over half of venture capital transactions involved fresh investments. Additionally, the VC-to-PE pipeline has grown reliable and steady. Various PLI schemes, the government's financial incentives, and the 'Make in India' concept, or Aatma-Nirbhar Bharat, are examples of investor-friendly programs that domestic companies are using to expand their production base and create new capacities, which in turn leads to an increase in domestic investments. Domestic investments in the nation are being driven by a number of investors:

- Government/Public Sector Enterprises
- Private Sector Enterprises
- Banks/Financial Institutions/Domestic Institutional Investors
- Retail Investors

In its July 22 report, the Economic Survey 2023-24 warned against a large rise in retail stock market involvement, stating that it is concerning to expect bigger returns in the absence of actual market circumstances. It also pointed out that increased retail investor engagement stabilizes the capital market and that these investors are becoming more interested in trading derivatives. Indirect trading through mutual fund channels and direct trading through their accounts have led to a boom in retail involvement on the Indian capital markets in recent years. Retail investors' share of the equity cash segment turnover in 2023–24 (FY24) was 35.9%, according to the Economic Survey 2023–24. In FY24, there were 1,514 lakh demat accounts with both depositories, up from 1,145 lakh in FY23. The impact of this market inflow is also evident in the number of new investors who register with the exchanges, as well as in their ownership of listed firms, net investments, and share of the total traded value.

As of March 31, 2024, the number of registered investors at the NSE has nearly tripled from March 2020 to 9.2 crore, which may indicate that 20% of Indian households are now investing their household savings in financial markets. "The significant increase in retail investors in the stock market calls for careful consideration. This is crucial because the possibility of overconfidence leading to speculation and the expectation of even greater returns, which might not align with the real market conditions, is a serious concern," said the document tabled by Finance Minister Nirmala Sitharaman in Parliament.

According to the Economic Survey 2023-24, the indirect channel of mutual funds saw a more significant and consistent increase in retail involvement. Mutual funds had an incredible year in FY24, with their Assets Under Management (AUM) rising by ₹14 lakh crore, or 35%, year over year to ₹53.4 lakh crore at the end of the year. This growth was driven by mark-to-market (MTM) gains and industry expansion. The total number of folios increased to 17.8 crore at the end of FY24 from 14.6 crore at FY23-end. Simple technological integration, government initiatives to promote financial inclusion, the expansion of digital infrastructure, the quick uptake of smartphones, the rise of low-cost brokerages, the desire to make money from non-traditional sources, and the reduced returns from traditional asset classes like gold and real estate were some of the factors that made it easier for investors to enter the market. Retail investors, on the other hand, have been investing in real assets and cashing in their winnings in financial markets. According to the survey, the increased involvement of retail investors in the Indian capital market is greatly appreciated and contributes to the market's stability. Additionally, it has made it possible for regular investors to increase the returns on their investments. Noting the interest of retail investors in the derivative market, the survey said, "the derivatives are hedging instruments, they are mostly used as speculative instruments by investors worldwide. India is likely no exception". "Derivatives trading holds the potential for outsized gains. Thus, it caters to humans' gambling instincts and can augment income if profitable. These considerations are likely driving active retail participation in derivatives trading," the Survey said. The survey calls for raising investor awareness and continuous financial education to warn them of the low or negative expected returns from derivatives trading.

With reference to an article published on 20 August 2024, individual investors now hold a higher share of industry assets i.e., 61 percent in July 2024, as compared with 57.5 percent in July 2023, as revealed by AMFI industry trends. It is clear from observing the mutual fund industry's statistics for the month of July that more and more investors are beginning to buy mutual fund schemes. According to the AMFI industry trends for July 2024, three out of every five rupees worth of industry assets in the mutual fund universe are held by individual investors, with the remaining portion being held by institutional investors. Notably, the total assets under mutual fund industry management increased by almost 40 percent (really 39.83 percent) from ₹46.28 trillion in July 2023 to ₹64.71 trillion in July 2024. Individual investors now hold more assets than their institutional counterparts due to the growing trend of retail investors investing in financial markets through mutual funds. According to AMFI industry trends, individual investors now own a larger percentage of industry assets—61 percent in July 2024 compared to 57.5 percent in July 2023. At the same time, institutional investors account for 39 percent of the assets, of which corporations are 95 percent. The rest are Indian and foreign institutions and banks. Additionally, 88 percent of mutual fund assets originate from individual investors, which includes both retail and high-net-worth individuals. This indicates a preference for individual investors. Meanwhile, institutional investors dominate liquid and money market schemes (88 percent), debt-oriented schemes (63 percent) and ETFs, FOFs (90 percent).

In 2024, the Indian stock market has reached several all-time highs, maintaining a strong surge that started the year before. Notably, during the past three years, frontline indexes have steadily increased in value, mostly due to the active engagement of Indian retail investors. According to domestic brokerage firm Motilal Oswal, one of the main factors contributing to the extraordinary growth in the Indian equity market over the past three years has been the increase in the savings pool of individual investors, especially in equities. Ownership dynamics have changed dramatically as a result of the post-pandemic surge in retail investments. It points out that the total ownership of individual investors and domestic institutional investors (DII) in the free-float market increased from 55.1% in March 2014 to 62.9% in March 2024, from 58.7% in March 2019. More than half of the cash volumes in FY24 are now held by non-institutional investors, a significant rise from 38% in FY14 and 49% in FY19. India now accounts for 19% of the MSCI Index, up from 7% in FY14 and 9% in FY19. Motilal Oswal reports that the total DII inflows for the first half of CY24 were \$28.5 billion, which was more than the \$22.5 billion inflows for the entire year CY23. Between CY22 and the first half of CY24, FII flows totaled \$4.8 billion, while DII flows were \$83 billion. It pointed out that the conventional wisdom about Indian retail investors is that they are "buying at the top and selling at the bottom," but this is no longer the case. Additionally, the firm pointed out that on June 4, 2024, retail investors tactically increased their equities holdings by taking advantage of market declines.

The expansion of the Indian financial market brings with it both possibilities and difficulties. When it comes to investment planning, an advisor is essential in helping people and businesses reach their financial objectives. These experts can be classified as financial advisers, asset managers, wealth managers, or investment consultants. Whatever their title, their main goal is to offer professional guidance and investment solutions that are suited to your unique requirements. Since global uncertainties, legal changes, and economic cycles all affect investment outcomes, making a significant investment without professional guidance is akin to sailing without a compass. Expert financial advisors act as that compass, helping investors navigate the intricacies of portfolio management, investment options, and market movements. Their knowledge not only aids in seeing possible growth paths but also in avoiding dangers that could deplete wealth. By offering the resources, know-how, and experience needed to successfully traverse the financial landscape, investment advisory services serve as a link between investors and their goals. The significance of these services is becoming more and more clear as the Indian market expands and diversifies, making them a vital tool for anyone trying to accumulate and protect wealth in a changing economic climate.

India has also been a popular destination for foreign portfolio investors (FPIs) because to its expanding economy. However, they are subject to particular laws intended to guarantee a smooth assimilation into local customs and traditions, just like any other explorer in foreign countries. For FPIs hoping to profit from India's economic story while maintaining compliance and efficient risk management, it is essential to comprehend these policies and make use of professional investment advising services. For FPIs, following rules is essential to risk management and goes beyond simple legal compliance. Because regulatory laws are ever-

changing, FPIs need to be on the lookout and update their plans frequently to conform to the most recent rules. This watchfulness aids in reducing regulatory risks that, if disregarded, may result in penalties or a damaged reputation in the marketplace. With their knowledge of Indian market rules, investment advisory services help FPIs strike this fine balance between investment agility and compliance. India provides a wealth of opportunities for foreign portfolio investors, all entwined with regulations aimed at preserving the integrity of the market and encouraging wise foreign investment. Investment advisory services serve as partners in this situation, assisting FPIs in efficiently navigating these rules and making the most of their investment plans.

Therefore, selecting the right investment planning service provider is crucial for an investor's financial success. While choosing a service provider the investor should look for a provider with a proven track record, extensive experience, and a solid reputation in the industry. The investor should ensure that they offer personalized strategies tailored to his/her unique financial goals and risk tolerance. Transparent fee structures, professional credentials, and a commitment to client education are also some additional factors that the investor should keep in mind while selecting his/her advisor. For FPIs, the Securities and Exchange Board of India (SEBI) serves as the regulatory lighthouse, providing precise parameters to enable their involvement in Indian markets. These rules address a number of topics, such as the industries in which FPIs are permitted to operate, investment limits, and registration procedures. In order to prevent any one foreign firm from gaining undue control or influence, there are restrictions on the percentage of an individual FPI's share in an Indian company as well as aggregate limits for FPI investments in different industries. Investment advising services become FPIs' guides in this complex regulatory environment. These SEBI-registered advisers help FPIs navigate the maze of compliance requirements while providing insights into market trends and possible investment possibilities. Investment advisors are crucial friends for FPIs, offering everything from clarification on the intricacies of the registration procedure to guidance on sector-specific investment caps and tax ramifications.

Almost foreseeing the growth of retail investors, SEBI released the Investment Advisers Regulations in 2013. Investment advice was defined by the legislation as providing clients with individual guidance about trading in securities or a portfolio of assets. The advice can be in written, oral, or other means of communications. Investment advice does not include any public investment advice found in periodicals, newspapers, or online. Therefore, anyone who advises clients on investments is considered an investment adviser. Regulations also outline the minimum net worth, acceptable educational background, and registration criteria for investment advisers. Additionally, SEBI has created a lengthy list of advisers who are not allowed to register, including those who provide broad commentary on financial markets in "good faith." Mutual fund distributors, insurance advisers, and pension advisers who are registered with the appropriate authorities are also on the list. Additionally excluded from registration are attorneys and chartered accountants who offer investment advice as part of their services. The number of registered investors has decreased to 1,313 in the ten years of regulations, which is less than 1% of all retail investors.

Although fiduciary services in the investment advice industry were first introduced in India by SEBI's RIA Regulations in 2013 but they lacked the teeth to have a significant impact. Clear rules have been provided for the future of advising business in India by SEBI's gazette notice dated July 3, 2020, and the meeting minutes posted on SEBI's website. It is now necessary for all intermediaries to choose their future course. The following section clearly states the Legal and Procedural steps needed for aspiring RIAs to register themselves as a SEBI compliant advisory practice. There are various RIA practice models that are viable under the laws as they stand, allowing anyone who wishes to join an RIA to do so without jeopardizing their current source of income. RIAs can operate as commission-only firms, hybrid practices with client-level segregation, or pure fee practices.

Legal and Procedural Steps

1. Check if you qualify to apply for the RIA license.

- Qualifications
- Capital Adequacy

For specific details, please refer to the link below:

<https://www.sebi.gov.in/legal/regulations/jan-2013/securities-and-exchange-board-of-india-investment-advisers-regulations-2013-last-amended-on-july-03-2020-34619.html>

2. Choose if you want to apply for individual or corporate license.

3. Choose an organizational structure for your practice.

- Proprietorship
- OPC
- LLP
- Pvt Ltd

4. Create a business plan which should include among other things sources of revenue and expenses involved.

5. Apply to SEBI in the prescribed form along with prescribed fees. The Applicant for grant of registration as an Investment Adviser under SEBI (Investment Advisers) Regulations, 2013 should make an application to SEBI in Form A as provided in the Regulations along with all the necessary supporting documents.

Link: <https://www.sebi.gov.in/acts/formcent.pdf>

6. Ensure processes and organize the tools in your organisation. This is a broad outline of tools and may differ for corporate and individual RIAs and from one RIA to other.
 - Client service agreements as prescribed by SEBI
 - Risk profiling tools
 - Financial planning tools /software
 - Client management systems / software
 - Access to transaction platform
 - Investment management tools and software
 - Front office and back-office staff along with a compliance officer
7. If an existing distribution business is being converted into RIA practice, client level segregation should be implemented.
 - RIA cannot charge fees to a 'distribution client
 - RIA cannot earn commissions from a 'fee paying client
 - Classify all the clients into two categories – Fee or Commissions.
 - Have clearly defined processes for both
 - Communicate to clients about this classification.

After understanding the institutional procedure of registering as an Investment Advisor under SEBI in detail now let's move on to the evolution of investment advisory practices in India. Financial intermediaries now have the ability to select their representation and compensation methods thanks to legislation enacted by the Securities and Exchange Board of India (SEBI) in January 2013, more than ten years ago. The Indian investment advisory services market has changed dramatically by 2024, as evidenced by several consultation papers, changes to regulations, and cooperative projects. In the present situation, investors have come to appreciate Qualified Advisors and Personal Financial Planners. Their client engagement method includes careful risk analysis, thorough financial planning, and advice on reaching financial objectives using a variety of products, such as insurance, mutual funds, PMS, and fixed income. These advisers play a vital part in managing their customers' emotional quotient by contracting with trained fund managers to handle money management and implementing techniques like asset allocation, estate planning, and will creation. Conversely, there is a less popular organization known as the Stock Tippers. These advisors take advantage of their clients' greed by providing stock recommendations in exchange for a large fee, frequently with questionable assurances of assured profits. It is interesting that this category receives a large proportion of SEBI's notices. One new trend involves fund managers switching from asset management firms (AMCs) to research analysts (RAs) or registered investment advisors (RIAs). This group consists of financial analysts, PMS Houses, large research firms, and former AMC fund managers. In order to generate alpha,

they use strong research teams to evaluate listed businesses, build model portfolios, offer individual stock advisory services, and compare performance to benchmarks. In addition to RIAs, asset managers (Mutual Fund Houses, PMS, and AIF Manufacturers) offer investors fund management and guidance through their funds or portfolios. Over the past 20 years, these companies have expanded significantly with multifaceted support, including:

- Financial Inclusion driven by GOI led by Regulators like RBI, SEBI, IRDA, and PFRDA.
- The establishment of organizations such as AMFI, APMI, and others to establish best practices, a code of conduct, and to launch extensive public awareness campaigns.
- Large organizations including RTAs, Exchanges, KYC Agencies, DPs, and Custodians have adopted and improved technology, redefining and simplifying investment and operational procedures like On-Boarding, Financial / Non-Financial Transactions, Settlements, Reporting, and Compliances.
- A large distribution network propelled the growth.
- The growing economy has shifted the investors' mindset from savers to investors.

Despite the noteworthy expansion, there is a noticeable tendency of many fund managers and PMS moving into the RIA and RA market in an effort to increase the TAM with low capital expenditures by lowering the size of investment tickets. The non-discretionary, non-custodian, and independent fee administration of RIAs and RAs, however, makes it difficult for them to replicate the embedded, regulated, and discretionary income model of AMC/PMS. The Connected Ecosystem still presents difficulties for analysts and advisors:

- Lack of Integrated Comprehensive Financial Planning / Data Collection tools
- Client level Compliance Management like KRA / CKYC / IA Agreement / Risk Profiling / Suitability / Logs
- Capability to create a Model Portfolio and be able to Track Deviation, Initiate Rebalancing and seamless Execution through the choice of Broker
- Creating Advisory Fee Template, Tagging it to a Goal /Portfolio, Calculation, Invoicing, Debits & Credits
- Digital Journeys across multiple products for On-Boarding, Transactions, Reporting & Analytics

Deciphering India's enormous array of investment options might be like solving a challenging puzzle. A SEBI (Securities and Exchange Board of India) certified investment advisor's services are quite helpful in this situation. As India's securities and investment market regulator, SEBI makes sure that all investment advisors follow strict rules that put investor safety and market integrity first. To protect the interests of investors, SEBI has established a strict regulatory framework for investment advisors. SEBI guarantees that only competent professionals provide advisory services by enforcing stringent registration, operational, and compliance criteria. In order to guarantee that advisors are prepared to offer wise financial advice, this regulatory oversight involves stringent verifications of credentials, expertise, and moral behavior. Selecting an investment advisor who is registered with SEBI has many advantages, much like choosing a safety net when negotiating the financial markets.

- The highest standards of openness, honesty, and professionalism must be upheld by these advisors.
- Customers gain from objective, empirically supported guidance catered to their risk tolerance and financial objectives.
- Additionally, secrecy is required of registered advisers, which strengthens the advisor-client relationship's sense of security and confidence.
- In addition to offering, you piece of mind, entrusting your financial goals to an investment advisor registered with SEBI matches you with a partner dedicated to helping you navigate the intricacies of the investment industry. As the stewards of your financial path, these advisors serve as guiding lights of confidence, knowledge, and tailored advice, guiding you skillfully and honorably toward your financial objectives.

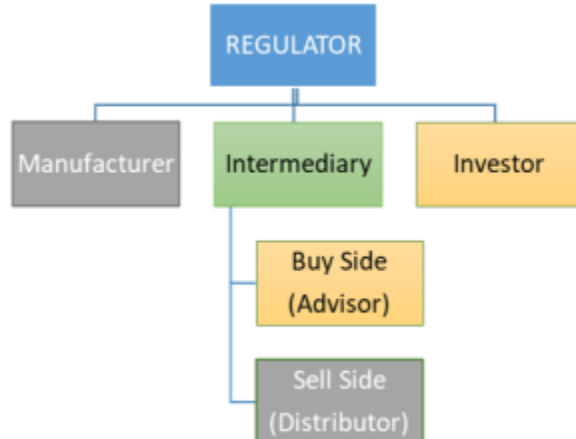
Up till now the discussion is completely focused on investment advisors but we need to strictly understand the difference between brokers, financial advisors and investment advisors to understand the investment advisory practices in India.

- As market navigators, **brokers** mainly assist clients in purchasing and disposing of securities. Comparable to the vendors in a typical Indian market, they carry out transactions without necessarily offering advice on what to buy or sell you.
- **Financial advisors** provide a wider range of services, much like an experienced travel guide who not only suggests routes to follow but also assists you with the entire trip planning process. They offer guidance on investments, insurance, tax and estate planning, and financial planning, taking a comprehensive approach to your financial well-being.

- Specialized in providing comprehensive advice on investment plans, **investment advisors** are registered with regulatory agencies such as SEBI in India. Their function is like to that of a specialist tour guide who is well-versed in a certain trail, guaranteeing that your investment path is customized to your risk tolerance and financial objectives.

In the above explanation we clearly understood what is the difference between brokers, financial advisors and investment advisors. Now, moving further for a better understanding about investment advisors let's draw a comparison between mutual funds distributors and investment advisors. Similar to how a general store owner differs from a specialized craftsperson, so too do mutual fund distributors and financial consultants. In addition to facilitating the purchase and sale of mutual fund units, mutual fund distributors frequently receive commissions from the mutual fund houses. They are exempt from the strict regulatory obligations of offering comprehensive, objective advice, in contrast to investment advisors. Conversely, financial advisors can provide thorough guidance on mutual funds and other investment options. As long as they keep separate records for clients who pay fees and those who do not, they are permitted by law to offer mutual fund advice without charging a fee. This guarantees openness and interest alignment with their customers.

A distributor and an advisor are both intermediaries between the product manufacturer and investor but both of them have different functions. An advisor and a distributor were not legally distinguished in the past, but this uncertainty has been eliminated by the new rules.



Advisor

- Advising skills are most important.
- Essentially a consulting job where execution is incidental.
- Problem solving approach.
- Source of revenue is fee collected from client.

Distributor

- Marketing skills are most important.

- Essentially a sales job where suitability of product is incidental.
- Product sales approach.
- Source of revenue is commissions received from manufacturer.

Investors must understand the distinctions between brokers, financial advisors, and investment advisors as it's similar to determining if you require a thorough tour operator, a local market guide, or a knowledgeable trail guide for your trip. Every professional has different demands, and being aware of these differences can help you get the best advice possible based on your financial goals and situation. According to SEBI rules, a number of experts may provide views about investments but are not considered investment advisors. Such as:

- **Mutual Fund Distributors:** Although they have the ability to suggest mutual fund products, their main function is distribution rather than providing individualized investment advice.
- **Stockbrokers:** Although they may offer market insights and carry out buy and sell orders, brokers do not offer individualized financial advice or investment strategy.
- **Insurance Agents:** They may recommend investment-linked insurance plans and specialize in insurance products, but their advising services are restricted to insurance and not full-fledged investment planning.
- **Financial Bloggers and Media Personalities:** Despite sharing insightful market analysis and investing advice, these individuals lack the regulatory support and personalization necessary to qualify as investment advisors.

Seeking advice from a SEBI-registered investment advisor for mutual fund investments brings a plethora of benefits. These professionals can demystify complex financial jargon, provide insights into market trends, and craft a diversified portfolio that mitigates risk while aiming for optimal returns. More than just advisors, they act as trusted partners in an investor's financial journey, offering clarity, confidence, and a path towards achieving financial goals. By leveraging the expertise of a qualified investment advisor, investors can navigate the vast sea of mutual funds with precision, ensuring their investment choices are in harmony with their financial aspirations and risk tolerance. Professional investment advisory services offer a blend of expertise, personalized advice, and strategic planning tailored to help investors understand the complex financial landscape. However, like any decision, this too comes with its own set of pros and cons.

Advantages of Investment Advisory Services

- **Expertise at Your Disposal:** Imagine having a mentor who not only knows the ins and outs of the financial markets but can also anticipate changes and advise accordingly.

Investment advisors bring a wealth of knowledge, experience, and analytical skills to the table, helping demystify complex investments.

- **Customized Financial Planning:** The financial circumstances and objectives of each investor are distinct. Like a custom garment made to fit you, investment advisors customize their recommendations to fit your unique financial objectives, risk tolerance, and time horizon.
- **Availability of Thorough information and Insights:** Investment advisors offer priceless information and insights into possible risks, investment possibilities, and market trends. This knowledge offers a major advantage because it is frequently out of reach for the typical investor.
- **Discipline and Emotional Detachment:** Making emotional decisions is frequently a result of the stock market's wild journey. In order to ensure that judgments are grounded in strategy and long-term goals rather than transient anxieties or euphoria, investment advisors act as an emotional buffer.
- **Goal Achievement:** Investment planning helps you systematically achieve financial goals such as buying a home, funding education, or planning for retirement.
- **Risk Management:** By assessing your risk tolerance, investment planning helps in creating a balanced portfolio that mitigates risks and maximizes returns.
- **Tax Efficiency:** Effective investment planning can minimize tax liabilities, allowing you to retain more of your earnings.
- **Financial Security:** A well-crafted investment plan provides financial stability and peace of mind, ensuring you are prepared for any unforeseen expenses.
- **Long-Term Growth:** Structured investment planning focuses on long-term growth, ensuring your wealth increases steadily over time.

Disadvantages of Investment Consulting Services

- **Prices & Charges:** There is a cost to receiving good advice. Investment advice service fees might vary, so it's important for investors to be aware of them up front and balance them against any potential advantages.

One can select a performance linked fee model with a Portfolio Manager (PMS) if paying fees on a regular basis is a concern. A PMS or RIA-advised ordinary mutual fund with an embedded charge is an additional choice.

- **Not All Advisors Are Created Equal:** Not all investment advisors may be a good fit for your particular needs, just as each doctor has a specialty. It takes research and occasionally trial and error to find the proper advisor. It takes work to do this.
- **Conflict of Interest Risk:** Despite stringent restrictions, there is always a chance of conflicts of interest for investment advisors who are registered with SEBI. It is crucial to make sure the advice your advisor gives you is in your best interests. Selecting the appropriate counsel is so essential.

The regulatory framework for registered IA in India is given below:

- SEBI Investment Advisor Regulations, 2013 and Code of Conduct made thereunder.
- SEBI Intermediaries Regulations, 2008
- SEBI Prohibition of Fraudulent and Unfair Trade Practices relating to Securities Market Regulations, 2003
- SEBI Circular on Measures to strengthen the conduct of Investment Advisers dated 27th December, 2019
- SEBI Circular on Guidelines for Investment Advisor dated 23rd September, 2020
- SEBI Circular on Publishing of Investor Charter and disclosure of Investor Complaints by Investment Advisers on their websites/mobile applications dated 13th December, 2021
- SEBI Circular on Investment Advisory Services for Accredited Investors dated 21st December, 2021

Following the rules is crucial in the financial industry, and IA is no different. As evidenced by multiple adjudication rulings against IA, serious penalties can follow noncompliance with the regulations. These incidents highlight how crucial it is to strictly abide by the law.

1. Charging Higher Fees:

The Securities and Exchange Board of India (SEBI) published a circular on September 23, 2020, outlining the rules about the fees that IAs are permitted to charge their customers. There are two approved methods for calculating fees:

- **Assets under Advice Mode:** By using this approach, an IA's yearly fee cap is fixed at 2.5% of the client's assets under advice (AUA).
- **Fixed Fee Mode:** Under this mode, an IA is only permitted to charge a client a maximum of Rs. 1.25 lakh per year.

However, there have been serious fines for non-compliance. For instance, M/s. MI Research was fined Rs. 35 lakhs for collecting excessively high fees and neglecting to adhere to the fundamental standards outlined in the Regulations and the Code of Conduct for IAs. In a similar vein, investment advisor Manu Chhabra was fined Rs. 4 lakhs for failing to keep customer PAN information up to date and collecting fees that above the Rs. 1.25 lakhs upper limit under the fixed fee mode.

2. Not Conducting Internal Audits:

In order to guarantee adherence to the regulatory framework, IAs are required under Regulation 19(3) of the Regulations to do annual audits. A member of the Institute of Company Secretaries of India (ICSI) or the Institute of Chartered Accountants of India (ICAI) usually conducts the audit.

Banayantree Services Limited, an investment advisor, was subject to the repercussions of its failure to do internal audits. This failure, in addition to infrastructure flaws and non-compliance with qualification and certification standards, resulted in a penalty of Rs. 3 lakhs from the adjudicating authority. Furthermore, the IA's operations were not adequately segregated from other business operations.

3. Not Redressing Client Grievances:

According to Regulation 21 of the Regulations, it is the duty of IAs to immediately resolve client complaints.

The IA was fined Rs. 16 lakhs in the Capvision Investment Advisor case for breaking Regulation 21(1), which deals with the timely resolution of client complaints, and the code of conduct. Notably, the Securities Appellate Tribunal (SAT) eventually lowered the fine to 8 lakhs in light of the IA's standing as a minor investment advisor.

These real-life problems highlight how crucial compliance is for IAs in order to preserve their professional integrity, safeguard their clients' interests, and avoid heavy fines. In addition to being required by law, following regulations is essential to preserving credibility and trust in the financial sector.

Dos And Don'ts of Investment Advisors

1. Dos for IA under the Regulations and Circulars issued by SEBI:

- **Act in a Fiduciary Capacity:** Always prioritize the best interests of your clients and maintain a fiduciary relationship with them.

- **Maintain Arm's Length Relationship and Segregate Activities:** An investment adviser is required to keep a clear separation between its functions as an investment adviser and any other activities it may be involved in. Additionally, if the investment adviser engages in activities beyond providing investment advisory services, it must ensure that its investment advisory services are distinctly isolated from all its other operations, following the specified guidelines.
- **Disclose Conflicts of Interest:** Promptly disclose any conflicts of interest to clients as they arise.
- **Follow Know Your Client (KYC) Procedures:** Adhere to KYC procedures specified by the regulatory authority.
- **Abide by Code of Conduct:** Comply with the Code of Conduct as specified in the regulations.
- **Change Control Approval:** Seek prior approval from the regulatory authority in case of any change in control of your investment advisory business.
- **Charge fees under either of two modes:**
 - i. Assets under Advice (AUA) mode -The maximum fee charged under this method shall not exceed 2.5% of AUA per annum per client across all services offered by IA.
 - ii. Fixed fee mode -The maximum charged under this method shall not exceed 1,25,000 per annum per client across all services offered by IA.
- **Demonstrate AUA with Supporting Documents:** Ensure that AUA is supported with relevant documents such as demat statements and unit statements of the client when charging fees under the AUA mode.
- **Deduct Pre-existing Distribution Arrangement:** Deduct any portion of AUA held by the client under pre-existing distribution arrangements with other entities when calculating fees under the AUA mode.
- **Consider Family of Client as a Single Client:** If multiple family members are considered a single client, apply the fee limits accordingly for the entire family.

- **Charge Fees Annually:** Charge fees from a client under either the AUA or Fixed fee mode on an annual basis, and do not switch between modes until at least 12 months have passed since onboarding or the last mode change.
- **Offer Advance Fee Payment Option:** If agreed upon by the client, consider charging fees in advance. However, ensure that the advance payment does not exceed fees for two quarters.
- **Collecting information from the client:** Ensure collecting all the information which is necessary for giving advice.
- **Process for assessing Client's risk tolerance:** Develop a comprehensive process for evaluating a client's risk tolerance, considering their capacity to absorb losses, identifying any unwillingness or inability to accept capital loss, and ensuring that client responses to questions are interpreted appropriately without assigning undue weight to specific answers.
- **Communication to the client:** Risk profile of client must be communicated to the client after risk assessment is done and information provided by them must be updated periodically.
- **Align Investments with Client's Risk Profile:** Ensure that all investment recommendations match the risk profile of the client, considering their risk tolerance and capacity to absorb potential losses.
- **Document Investment Selection Process:** Maintain a documented process for selecting investments based on the client's specific investment objectives and financial situation.
- **Understand and Align with Product Risks and Client Objectives:** Develop a comprehensive understanding of the nature and risks linked to recommended products or assets and ensure that all recommendations align with the client's investment objectives and their capacity to bear associated risks.
- **Assess Client Experience and Knowledge:** Determine that the client possesses the necessary experience and knowledge to comprehend the risks involved in the transaction.
- **Assess Complex Financial Products Appropriately:** When advising on complex financial products, make recommendations based on a reasonable assessment

that considers the client's experience, knowledge, investment objectives, risk appetite, and capacity to absorb potential losses.

- **Provide Full Information:** Disclose all material information about your business, disciplinary history, advisory service terms and conditions, affiliations with other intermediaries, and any other essential information to help clients make informed decisions.
- **Disclose Holdings:** Inform clients about your holdings or positions, if any, in the financial products or securities you are advising on.
- **Reveal Conflicts of Interest:** Disclose any actual or potential conflicts of interest arising from connections or associations with product or securities issuers. Provide all relevant information that may affect your objectivity and independence.
- **Share Material Facts:** During investment advice, adequately disclose all material facts about the key features of the products or securities, particularly their performance track record.
- **Highlight Warnings:** Draw your client's attention to any warnings or disclaimers present in documents or advertising materials related to an investment product that you are recommending.
- **Maintain Comprehensive Records:** Keep well-organized records, including Know Your Client information, risk profiles, suitability assessments, client agreements, investment advice provided (written or oral), the rationale for advice, and a client register detailing advice dates, nature, products/securities, and fees.
- **Preserve Records Securely:** Maintain records in either physical or electronic format and store them securely for a minimum of five years. Digitally sign electronic records where required.
- **Conduct Yearly Internal Audit:** Ensure an annual audit of compliance with regulatory requirements conducted by a qualified professional, such as a member of the Institute of Chartered Accountants of India or the Institute of Company Secretaries of India, and submit the required report to the regulatory authority.
- **Promptly address Client's Grievances:** All the clients' grievances must be redressed promptly within a specified timeline of the respective portals on which such grievances have been raised. Establishment of Grievance Redressal

Procedure: It is statutory obligation on IA to establish the grievance redressal procedure under the Regulations. IA shall ensure the established procedures are effective in handling the clients' grievances.

- **Collaborate with Regulatory Authorities:** Cooperate fully with regulatory authorities responsible for handling grievances related to specific financial products, ensuring adherence to regulatory requirements.
- **Consider Arbitration or Ombudsman Services:** Encourage clients to explore dispute resolution options, such as arbitration or Ombudsman services offered by regulatory authorities, to provide clients with fair and impartial avenues for resolving disputes. **Implementation Services to Advisory Clients:** IA shall provide implementation services to only its advisory client and shall not provide implementation services to any other person.

2. Don'ts for IA under the Regulations and Circulars issued by SEBI:

- **Receive Compensation from Third Parties:** Do not accept remuneration or compensation from anyone other than the client for the products or securities you provide advice on.
- **Divulge Client Information Without Permission:** Do not disclose confidential client information without the client's prior permission, except as required by law.
- **Engage in Conflicting Transactions:** Avoid engaging in transactions that conflict with the advice given to clients for a period of fifteen days after providing the advice.
- **Act Against Your Advice:** Refrain from knowingly selling securities or investment products to, or purchasing them from, a client if it contradicts the advice you've given.
- **Restriction on Providing Distribution Services:** An individual IA and his family shall not provide distribution services to clients and IA shall not provide investment advice services to a client who is receiving distribution services from his\her family members. Our article covering this topic in detail can be viewed [here](#).
- **Charging for Implementation Services:** IA has been allowed to provide implementation services to their clients but they are specifically prohibited from charging any consideration including any commission or referral fees, directly or

indirectly at individual level as well as family level. Further it has been specifically provided in the Regulations that IA or group or family of IA shall not charge any fee for implementation services to the clients.

- **Obligation on Client:** Client shall not be under any obligation to avail implementation services from the IA. IA shall ensure that it in no way forces or persuades clients to avail implementation services from the IA.

3. Other Requirements to be followed by Investment Advisor:

Other than Do's and Don'ts we discussed above there are some other requirements which IA shall keep in his mind while providing services to the client as professional advisor:

- Investment Advisors (IAs) must ensure that individuals associated with investment advice meet the following minimum qualifications at all times:
 - i. Possession of a professional qualification as outlined in clause (a) of sub-regulation (1) of regulation 7.
 - ii. Accumulation of a minimum of two years of experience in activities related to providing advice on financial products, securities, funds, assets, or portfolio management.
- If an IA discovers that any information or details previously submitted to the Board are inaccurate or misleading in a substantial manner or if there is a significant change in the previously provided information, they must promptly notify the Board in writing.
- Non-individual IAs, such as corporate entities or partnership firms, are required to incorporate the term 'investment adviser' in their name.
- IAs that are either corporate entities or partnership firms must designate a compliance officer responsible for overseeing the IA's adherence to the provisions of the Act, regulations, notifications, guidelines, and instructions issued by the Board.

Madhabi Puri Buch, the chairperson of the SEBI, has been speaking about the dangerous situation of investment advising in India. According to Buch, there is an increase in so-called influencers and about one-third of investment advisors are not registered with SEBI. Influencers are social media influencers who, despite maybe lacking any financial knowledge, use their reputation to give financial advice on social media platforms. Technology has made it possible for

influencers to provide advice without registering, and the majority of advisors have chosen not to do so.

But the question still lies why is SEBI concerned with the rise of unregistered investment advisors and influencers?

- First, during the past ten years, there has been a significant rise in the number of retail investors. Demat accounts have grown from 1.3 crore in 2012–13 to 11.4 crore in 2022–23, a nearly tenfold growth.
- Second, as the number of retail investors rises, more people will require assistance and guidance with their financial investments.

The Securities and Exchange Board of India (SEBI), which oversees the capital markets, has suggested loosening the rules and limitations pertaining to registered investment advisors (RIAs) in India. After several members of India's small investment advice sector voiced their worries about unnecessarily stringent requirements for an extended period of time, SEBI made its proposals. India needs additional RIAs (there are now just 961, according to SEBI's website) to serve a wide range of investors, and the agency acknowledged this in a consultation paper published on August 6 and included some important recommendations as retail investors should obtain advice from trained and registered advisers, according to SEBI. SEBI has suggested that a new RIA should just possess a graduate degree, rather than the current requirement of a post-graduate degree. Furthermore, SEBI has suggested that RIAs be exempt from the requirement for work experience. This is a major concession. RIAs are currently required to have five years of relevant work experience in addition to a post-graduate degree. For 'persons affiliated with investment advising' (the junior to mid-level customer-facing employees like relationship advisors or para-planners as they're known in the investment advisory circle), they are required to have 2 years' worth of relevant experience. If approved, this would make it simple for new RIAs to enter the field. Additionally, it would enable corporate RIAs to hire recent college graduates as para-planners and provide them with on-the-job training. Due to the high compensation expectations, many corporate RIAs were unable to hire new employees due to the demand of work experience.

Currently RIAs also require to have a certification of financial planning either from the National Institute of Securities Markets (NISM) or any other accredited (and related) certification such as 'Certified Financial Planner.' Although SEBI hasn't advised a change in this, it has also made a major concession. It has suggested doing away with the need for RIAs to retake the same test in order to renew their certification. Many RIAs had a serious grievance about this, believing that it was superfluous to take the same test every few years in order to maintain their license. In order to keep up with the significant changes that have occurred in the investment industry, SEBI has now suggested that RIAs take a refresher course rather than the "base" exam every few years.

SEBI has suggested giving RIAs more latitude in how they bill their clients. There is no minimum time between two fee mode changes, and they are allowed to flip between the modes

as often as they like. Here is what it means. RIAs can currently charge a fixed fee (up to Rs 1.25 lakh per year per family) or a percentage (up to 2.5 percent) of a client's total assets under advice (AUA). They cannot switch before a year has passed if they are charging a client using one method and want to switch to another. Additionally, SEBI has suggested reducing the cost of compliance for establishing and operating a career as an RIA. It has been proposed that RIAs shouldn't have to disclose their initial net worth. Currently, a minimum net worth of Rs 5 lakh is required for an RIA. The minimum net worth for a corporate RIA is Rs 50 lakh. In order to cover any issues later on, SEBI has suggested that all RIAs deposit a certain amount of money with a stock exchange (between Rs 1 lakh and Rs 10 lakh; the more clients, the larger the deposit).

When an RIA has more than 150 clients, a bigger net worth eventually catches up with them. According to existing standards, he/she must change his/her individual RIA membership to a corporate RIA once his/her clientele surpasses 150. In this instance, he/she must generate at least Rs 50 lakh in increased net worth. Another cherry on top: SEBI has suggested that individual RIAs only need to register as corporate RIAs if they have more than 300 clients or if they have earned more than Rs 3 crore in fees during the fiscal year. According to SEBI, a lot of RIAs provide advice on topics including gold, real estate, wills and estate planning, and more. In this case, SEBI's report recommends that RIAs restrict their advice to securities and financial instruments under the jurisdiction of financial sector regulators. According to this, RIAs are not allowed to provide advice on wills, estate planning, gold, or real estate. SEBI's suggestion is based on the concern that, since these goods and services are outside of its purview, the capital markets regulator would be powerless to address a customer's complaint if something went wrong.

In a rather odd step, SEBI has suggested permitting RIAs to work part-time. An RIA should work in the field full-time in accordance with current standards. Part-time RIAs should be permitted to get (part-time) licenses, according to the August 6 consultation paper. For example, part-time RIA status may be granted to practicing chartered accountants who file income-tax returns and insurance brokers. Teachers, architects, lawyers, doctors, and other professionals can also work as part-time RIAs. It is suggested that part-time RIAs have no more than 75 clients. An RIA does, in fact, involve collecting payment for the advice given. A more thorough examination of this proposal suggests that SEBI might be attempting to limit the rise of social media influencers and finfluencers. It aims to achieve this by putting an increasing number of people into its regulatory purview, but it also does not wish to limit access to counsel, if it is sincere.

There are intriguing similarities between the Indian banking and securities industries' recent trends. There were numerous banks in India using various banking techniques at the time the RBI was established in 1935, but there were no banking laws in place. Defining banks and banking was one of the RBI's initial responsibilities. Additionally, only banking professionals are permitted to add the title bank to their company names, according to the RBI. In addition to the prudential requirements of minimum capital and net worth, the RBI announced that all new and existing banks in India would need to apply for a license from the central bank following the Banking Regulation Act (1949). Despite the regulatory changes, the RBI took time to cleanse the banking

system and allow only registered banks to offer banking services. The RBI pushed banks to apply for licenses and closed or merged those that refused to comply. In addition to the RBI's actions, a string of bank failures made it clear to bankers and their clients that regulated institutions are the way to go. One is witnessing both parallel and divergent patterns emerge in the relationship between SEBI and investment advisers. Although investment advisers were in existence before to SEBI, the agency did not initially issue directives to govern them. However, since investment advice and stock markets go hand in hand, it is also possible to argue that SEBI postponed regulating investment advisers. The breadth of the investment advice was constrained by the significantly smaller number of retail investors compared to bank customers. SEBI released requirements to identify and register investment advisers after observing an increase in retail investors and the possible growth of these professionals.

SEBI is punishing and suspending unregistered investment advisers in addition to enforcing restrictions. Additionally, it penalizes registered advisers who violate the rules. Additionally, SEBI wants to create an ecosystem that would allow registered investment advisers to earn fees. An advertising code for leveraging brand names to offer investing advice has also been set. In order to prevent investors from falling for unsolicited financial advice, SEBI is also working to increase financial literacy. To communicate with investors, the registered investment advisers have established their own association. During the early years of bank regulation, in 1946, the Indian Banking Association was also established. Unregistered investment advisers and unsolicited investment advice are being aggressively targeted by SEBI. The transition to registered advisers and sought guidance will be a protracted battle. Investors must exercise caution and awareness in the interim. One question at a public event that economists fear is, "Which share should one invest in?" The economist will be the center of attention during the meeting if they are the financial type; if not, they will be shunned. Investors should exercise caution and refrain from accepting free advice, even from economists with a background in finance, given the nature of stock markets and people's concerns about personal investments.

If the above aforementioned steps, proposals and status are followed in India then it is not long enough when India would tread in the foots of UAE or Singapore and be one of the countries to have one of the best investment advisory practices in the world. SEBI is actively trying to increase the number of registered and institutionalized investors, it is also the responsibility of the citizens to help SEBI reach its objectives as soon as possible for a conducive and monitored investment environment so that India attracts more investors, be it domestic or international, and SEBI has the capability to regulate them efficiently.

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